

Novation

Novation occurs when one party to an existing contract is substituted with a new party (which may be referred to as **novation of parties**) or when a new contract is substituted for an old one between the same parties (aka **novation of contract**). With a novation, the new party takes over the rights and duties of the original party, and the original party is no longer obligated under the contract. All parties to the original contract must agree to the novation.

Example

Fred's employer asked him to take the reins at their new facility, which meant he had to move to a different state. Fred arranged to purchase Bailey's home, and they signed a purchase contract. Then, two weeks later and before the sale closed, Fred was fired. Now Don would be moving to take over the new facility for Fred's former employer. Fred no longer wanted to buy Bailey's home, but luckily Don was willing to buy it instead. Fred and seller Bailey agreed to a novation of parties, and Don replaced Fred on the purchase contract. All of Fred's obligations and rights become Don's, and Fred was no longer obligated under the contract. The contract was the same, but one party had been replaced by a new person.

Novation can have complicated legal consequences, so it should never be attempted without an attorney's participation.